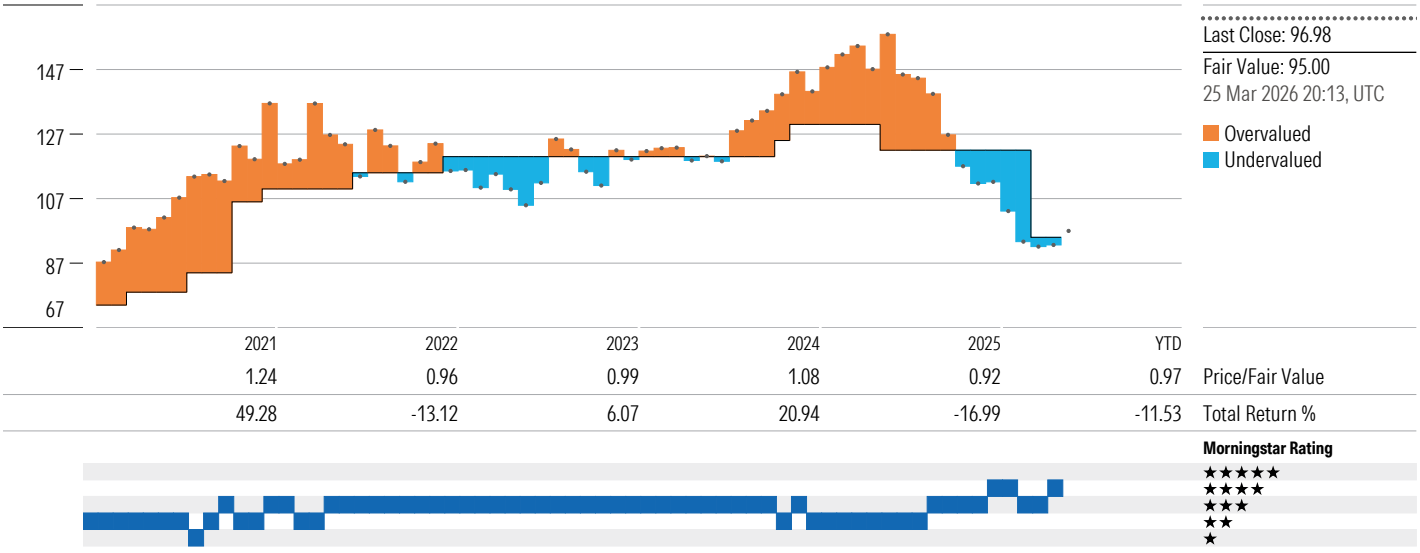
Paychex Inc PAYX ★★★ 1 Jun 2026 22:19, UTC

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Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.24	0.96	0.99	1.08	0.92	0.97
Total Return %	49.28	-13.12	6.07	20.94	-16.99	-11.53

Total Return % as of 31 May 2026. Last Close as of 31 May 2026. Fair Value as of 25 Mar 2026 20:13, UTC.

Contents

Analyst Note (22 May 2026)
Business Description
Business Strategy & Outlook (22 May 2026)
Bulls Say / Bears Say (28 May 2026)
Economic Moat (22 May 2026)
Fair Value and Profit Drivers (28 May 2026)
Risk and Uncertainty (22 May 2026)
Capital Allocation (22 May 2026)
Analyst Notes Archive
Financials
ESG Risk
Appendix
Research Methodology for Valuing Companies

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The primary analyst covering this company does not own its stock.

'The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Growing Competition and AI Uncertainties Cloud Long-Term Outlook for Payroll Providers

Analyst Note Jivyaa Vaidya, Equity Analyst, 22 May 2026

We are transferring coverage of payroll and human capital management, or HCM, providers ADP, Paychex, and Paycom, and relaunching coverage of Paylocity. Their solutions span payroll, talent management, and workforce analytics, with ADP and Paychex also offering outsourcing and retirement services.

The bottom line: Our moat ratings are unchanged for narrow-moat ADP and Paychex and no-moat Paycom, and we assign Paylocity a no-moat rating. We raise our fair value estimates for ADP to $249 from $231; for Paychex to $106 from $95; for Paycom to $144 from $130; and set Paylocity at $135.

- Our fair value increases reflect a more constructive view on the firms' competitive strength and tailwinds from an anticipated macroeconomic recovery. Shares appear undervalued amid the AI-driven software selloff, and we view our valuations as sufficiently derisked.
- Paylocity's no-moat rating is rooted in its exposure to cyclical down markets, growing competition, and AI-driven uncertainties. Even so, we see upside at current prices driven by optimism around cross-sell momentum and new customer growth, alongside traction in new ancillary modules.

Big picture: High switching costs associated with mission-critical payroll and compliance workflows drive strong retention and predictable cash flows for providers. However, growing competition and AI-driven structural risks cast uncertainty on their long-term returns.

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Sector Technology

Industry Software - Application

Business Description

Paychex is a cloud-based human capital management provider offering payroll, compliance, talent management, benefits administration, and retirement services. The firm also provides HR outsourcing services, including professional employer organization, or PEO, offerings, enabling clients to reduce HR overhead. Paychex primarily targets small and midsize businesses, although its acquisition of Paycor in 2025 signals the firm's aspirations to expand into the midmarket segment, serving firms with more than 100 employees. As of fiscal 2025, Paychex has approximately 800,000 clients and manages payroll for one in 11 workers in the United States.

- Payroll providers face risks from application-layer workflows vulnerable to competitive erosion and AI-driven seat compression. Complex payroll workflows are relatively insulated from these risks, but are concentrated in large clients with multijurisdiction operations and higher regulatory exposure.
- Our moat rating for ADP and Paychex is supported by entrenchment beyond payroll in sticky adjacencies like professional employer organization and retirement services. ADP's large enterprise base further insulates its positioning, though our conviction wanes beyond the next decade.

Business Strategy & Outlook Jivyaa Vaidya, Equity Analyst, 22 May 2026

Paychex is a leading payroll and human capital management provider. Although the firm's average customer size of fewer than 20 employees implies a customer base that skews very small, Paychex has successfully tailored its platforms to solidify its position as a dominant provider in its target markets. The company operates two segments: management solutions and professional employer organization, or PEO, and insurance solutions.

Management solutions make up the bulk of Paychex's revenue. We expect the recently completed Paycor acquisition to enable traction with stickier, midmarket customers. Beyond payroll, the segment includes sticky offerings such as retirement services and non-PEO HR outsourcing services, enabling the firm to deepen switching costs. HRO services are inherently high-touch, as the value proposition extends beyond software to functioning as a full external HR department. We expect pricing upside and module cross-selling within the firm's installed base to continue driving segment growth and margin expansion. However, increasing competition from modern, integrated platforms will likely limit new customer growth and market share gains.

Paychex's PEO business is an equally compelling part of its growth story. As one of the largest PEOs in the US, Paychex's scale and comprehensive HR services suite give it an edge over competitors. We expect easing monetary policy and growing regulatory complexity to drive greater adoption of HRO services, including PEO, enabling stronger revenue growth and market share gains in the coming years. We also expect Paycor's installed base to serve as a pipeline of customers for Paychex's HRO businesses.

On artificial intelligence, we expect Paychex to continue investing in AI capabilities. The firm has released a variety of AI solutions spanning compliance assistance and benefits administration and will likely continue investing in new offerings. However, management has yet to lay out clear monetization plans for its AI solutions, creating uncertainty around their impact on Paychex's financials. We also expect Paychex to leverage automation in its sales and development processes to expand margins.

Bulls Say Jivyaa Vaidya, Equity Analyst, 28 May 2026

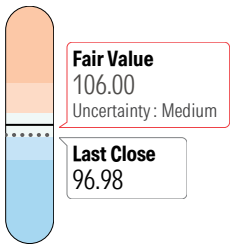
- Paychex's position as a preferred payroll provider is buoyed by its robust referral networks of accountants and brokers, which should remain a key driver of new bookings.

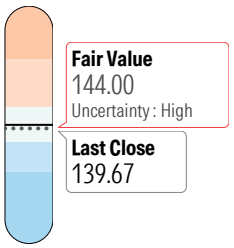
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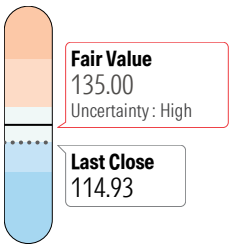
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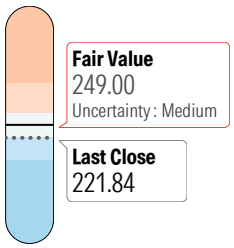
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Competitors









	Paychex Inc PAYX	Paycom Software Inc PAYC	Paylocity Holding Corp PCTY	Automatic Data Processing Inc ADP
Economic Moat	Narrow	None	None	Narrow
Currency	USD	USD	USD	USD
Fair Value	106.00 1 Jun 2026 17:19, UTC	144.00 1 Jun 2026 17:36, UTC	135.00 1 Jun 2026 17:36, UTC	249.00 1 Jun 2026 17:16, UTC
1-Star Price	143.10	223.20	209.25	336.15
5-Star Price	74.20	86.40	81.00	174.30
Assessment	Fairly Valued 1 Jun 2026	Fairly Valued 1 Jun 2026	Fairly Valued 1 Jun 2026	Fairly Valued 1 Jun 2026
Morningstar Rating	★★★1 Jun 2026 05:00, UTC	★★★1 Jun 2026 05:00, UTC	★★★1 Jun 2026 05:00, UTC	★★★1 Jun 2026 05:00, UTC
Analyst	Jivyaa Vaidya, Equity Analyst	Jivyaa Vaidya, Equity Analyst	Jivyaa Vaidya, Equity Analyst	Jivyaa Vaidya, Equity Analyst
Capital Allocation	Exemplary	Standard	Exemplary	Standard
Price/Fair Value	0.97	1.03	0.91	0.94
Price/Sales	5.53	3.66	3.68	4.16
Price/Book	8.66	8.02	5.21	13.99
Price/Earning	21.41	16.17	24.54	20.69
Dividend Yield	4.57%	1.07%	0.00%	2.92%
Market Cap	36.70 Bil	6.93 Bil	6.56 Bil	93.41 Bil
52-Week Range	85.45—161.24	104.90—267.76	92.99—197.78	188.16—329.93
Investment Style	Mid Blend	Small Blend	Small Growth	Mid Blend

- ▶ Paychex is well-positioned to benefit from a rise in new business formations driven by AI-enabled operational and innovation efficiencies.
- ▶ Growing regulatory complexity and hybrid workforce expansion in SMB markets should accelerate adoption of Paychex's PEO and other HR outsourcing services.

Bears Say Jivyaa Vaidya, Equity Analyst, 28 May 2026

- ▶ Given its predominantly SMB customer base, Paychex faces significant downside risk from declines in labor force participation rates and new business formations.
- ▶ Growing preference for vendor consolidation in Paychex's target markets may drive customers toward integrated platforms like Rippling and SMB-focused enterprise resource planning solutions like Oracle's NetSuite.
- ▶ AI is emerging as a key threat to seat-based revenue models and can materially increase competition in the industry.

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Economic Moat Jivyaa Vaidya, Equity Analyst, 22 May 2026

We assign Paychex a narrow moat rating based on switching costs. Paychex is a provider of payroll, compliance, and human resource management solutions. The mission-critical nature of payroll processing and regulatory compliance, along with the financial and legal risks of switching providers, enable Paychex to enjoy high switching costs in its businesses. While peers like Paylocity and Paycom target similar customer markets, Paychex's offering suite extends to retirement, insurance, and human resources outsourcing services, enabling it to entrench itself deeper into its customers' operations than competitors. While we expect the firm to remain a leading provider in its core markets over the next decade, heightened uncertainty around the risk of AI on software, growing competitive intensity, and a predominantly small and midsize business, or SMB, and midmarket customer base lower our confidence in Paychex's ability to retain its leadership position beyond the next decade.

While market share estimates vary, Paychex is a leading provider in its core payroll market, second only to ADP. Although the firm targets a broad range of customer sizes, company data suggests that the average Paychex customer has only 15 to 20 employees, suggesting a primarily SMB customer base. Paychex competes with other payroll providers like ADP, Paylocity, and Paycom for a greater share in its target customer markets, as well as pure-play PEO peers such as Insperity and TriNet. Additionally, AI-enabled automations have supported the rise of a growing cohort of cloud-native upstarts such as Rippling and Gusto targeting the SMB and midmarket segments. Despite this competitive breadth, we believe payroll providers benefit from switching costs in their businesses. Software in general tends to benefit from high switching costs due to time-consuming—and often monetarily expensive—processes like product evaluation, system integration, staff training, data migration, and more, across multiple touchpoints in an organization. A client that has absorbed these costs has little incentive to incur them again, and switching providers risks operational disruptions, loss of customer data, and reintegration challenges. Paychex's client retention of 82%–85% is healthy for a predominantly SMB customer base and reflects the depth of those switching costs in practice. That said, inherently higher churn, exposure to macroeconomic volatility, and growing competitive intensity in the SMB and midmarket segments collectively raise uncertainty around the firm's long-term growth outlook.

We believe Paychex's management solutions segment benefits from high switching costs. Within the segment, Paychex offers SurePayroll, a self-service offering catering to small businesses, and Paychex Flex, a more comprehensive HCM platform tailored for SMBs. The firm also offers human resource outsourcing (excluding PEO) and retirement services within the segment. The firm's recently completed acquisition of Paycor, a competing HCM platform, supports its movement upmarket by enabling it to target businesses with more than 100 employees. The firm's value proposition lies in absorbing HR and compliance complexities for its clients to enable significant time and monetary savings. Payroll processing alone involves navigating hundreds of individual variables (tax brackets, benefit elections,

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filing requirements, regulatory classifications, and more) and entrenches providers like Paychex deep into their clients' day-to-day workflows. Migrating to alternative providers risks errors in regulatory reporting and compensation disbursement, which in turn can trigger significant legal fees, reputational damage, and employee attrition.

Paychex also has a strong PEO and insurance solutions business. A PEO enters a co-employment relationship with its client, typically a small business, and assumes responsibility for payroll, benefits, and HR compliance on behalf of the client's workforce. By pooling its clients' employees into a common base, a PEO also enables access to superior benefit premiums and coverage. Paychex's PEO business is one of the four largest PEOs in the US, which collectively account for nearly half all PEO-covered employees in the country. The broader market remains significantly underpenetrated, with adoption rates estimated to be in the low single digits to midteens. This is largely due to the lack of SMB awareness and a general resistance to outsourcing critical HR functions. However, hybrid work expansion, rising regulatory complexity, and healthcare inflation are increasingly driving adoption, presenting a meaningful growth runway for PEOs. While the largest PEO peers can broadly match Paychex on scale economics, Paychex's differentiation lies in the completeness of its offering. Unlike pure-play PEOs such as TriNet, Paychex's clients benefit from its full payroll infrastructure, compliance expertise, and HCM ecosystem under a single provider. In addition to the PEO business, Paychex reports commission revenue earned from selling carrier agency benefit plans to non-PEO customers via its licensed agency, Paychex Insurance Agency, which makes up a small portion of the overall segment's revenue.

We believe the core PEO business also benefits primarily from switching costs. Unwinding a PEO relationship involves data migration, exiting the HCM platform, dissolving the co-employment structure, transitioning employees to new benefit plans, and managing pending workers' compensation and unemployment claims at meaningful operational and financial cost. We also believe that the firm's benefits purchasing power in a fragmented PEO market signals a cost advantage moat. However, we withhold designating it as a moat source, given the volatile spread between insurance rates and claims utilization and heightened exposure to macroeconomic health.

We recognize that Paychex's compliance expertise and strong referral network may warrant an intangible assets moat, but we are not confident in their durability on a forward-looking basis. While we concede that Paychex's decades of tax and payroll compliance experience are valuable, technological advancements have meaningfully narrowed the service quality gap between payroll providers. For instance, tax compliance in multijurisdiction operations, previously reliant on human expertise, can now be ensured using rules-based data flows that automatically apply regulatory changes to calculations. Competitors like Dayforce have also introduced AI-enabled tools that proactively identify and automatically resolve payroll anomalies. As product differentiation narrows, we believe the basis on which accountants refer providers weakens with it. Referral decisions are based on criteria like

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reliability, ease of use, breadth of offerings, and support quality — all areas in which newer providers have increasingly closed the gap. Customer reviews have repeatedly cited modern unified platforms like Rippling and Deel as easier to implement and navigate than legacy providers. Competitors are also increasingly citing referral networks as key contributors to new bookings growth, signaling that distribution network benefits are no longer unique to Paychex. While large providers like Paychex have the scale and financial resources to establish robust incentive programs, we are not confident that referral networks are entrenched deeply enough to continue to serve as a source of differentiation for payroll providers. As a result, we do not expect them to serve as a meaningful driver for new bookings against competition over the next decade.

We believe AI further heightens the uncertainty around Paychex's return profile beyond the next decade. Paychex's value proposition lies in application-layer economics without significant domain- or vertical-specific expertise in its workflows, making it vulnerable to competitive erosion. Moreover, large shifts in employment and hiring levels driven by AI and automation efficiencies could damage revenue, given the firm's exposure to seat-based pricing. While we believe Paychex's massive employment dataset positions the firm well for AI-enabled benchmarking and tools, a clear monetization strategy has yet to be laid out. We do not view these risks as a material threat to Paychex's near-term growth but have less conviction in the firm's ability to retain its market leadership over the long run.

Fair Value and Profit Drivers Jivyaa Vaidya, Equity Analyst, 28 May 2026

Our fair value estimate for Paychex is $106 per share, implying a fiscal 2026 adjusted price/earnings ratio of 19 times and an enterprise value/sales ratio of 6 times.

We model a five-year compounded annual revenue growth rate of approximately 8%, driven by mid-single-digit growth in management solutions and mid- to high-single-digit growth in the PEO and insurance solutions segments.

Our forecasts for the management solutions business reflect wallet share expansion driven by greater product attachment and upselling opportunities. We expect customers acquired via the Paycor acquisition to be a key pipeline for Paychex's nonpayroll solutions within the segment, such as retirement services and administrative service organization, or ASO, offerings. We expect overall new customer growth to be limited due to growing competition in the SMB and midmarket segments, though Paychex should be able to retain significant market share over the next decade.

We also expect the firm to benefit from high-margin interest income throughout our explicit forecast period. Paychex's client funds investment strategy is primarily focused on short- and medium-term securities with an average duration of two to three years. We expect the firm's earned interest rates to remain elevated in the near term, but anticipate that rate cuts will reduce interest income in the latter half our explicit forecast.

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Within the PEO business, we expect revenue growth to be driven by new client additions, higher product attachment, and stabilizing employment. We view PEO as a promising opportunity, and looser monetary policy, combined with growing regulatory complexity and hybrid work expansion, should drive greater adoption. We also anticipate upgrades of Paycor's installed base to the higher-value PEO offering, supporting bookings growth. The segment also includes revenue earned on the firm's insurance solutions, though we expect its contribution to Paychex's top line to remain in the low single digits.

Despite its SMB customer base, Paychex boasts a stellar margin profile, with GAAP operating margins averaging 40% over the last five years. We attribute this profitability to its strong accountant referral network, lean operations, and predominantly domestic customer base. We forecast GAAP operating margins to expand from approximately 40% in fiscal 2025 to approximately 42% in fiscal 2030, driven by growing operating leverage, automation efficiencies, and incremental seat growth in the installed base. We also expect Paychex to continue investing in new platform functionalities and AI offerings to remain competitive, which will limit margin gains.

AI represents a key consideration for investors and a double-edged sword for Paychex. On one hand, automation efficiencies can drive productivity gains and accelerate product innovation. At the same time, AI could intensify competition and dampen seat demand as clients achieve the same output with fewer seats, weighing on revenue growth.

Risk and Uncertainty Jivyaa Vaidya, Equity Analyst, 22 May 2026

We assign Paychex a Medium Morningstar Uncertainty Rating.

Paychex's predominantly SMB and midmarket customer base implies heightened exposure to labor market conditions. Higher unemployment and muted business formation are leading indicators of weaker revenue growth. While the firm's diversified client base hedges against weakness in particular industry verticals, large swings in unemployment levels present higher downside risk to Paychex than upmarket peers.

Intensifying competition in Paychex's target markets can also affect the firm's growth trajectory. Growing platform convergence amid an increasingly crowded vendor landscape can lead to players competing aggressively on prices, which could affect Paychex's top-line and margin growth.

AI introduces additional uncertainty. Paychex is well-positioned to benefit from automation efficiencies, and its large payroll base provides a notable dataset advantage for training AI solutions. However, cloud-native architectures like Paycom may have a structural edge in cross-module, agentic deployments. AI-driven automation can also reduce seat demand, and Paychex is unlikely to emerge unscathed from large shifts in employment levels.

While we see no material environmental, social, and governance risks, data privacy and security remain

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areas of concern, given Paychex's access to sensitive employee data.

Capital Allocation Jivyaa Vaidya, Equity Analyst, 22 May 2026

We assign Paychex an Exemplary Morningstar Capital Allocation Rating, reflecting a sound balance sheet, exceptional investments, and appropriate shareholder distributions.

Paychex's balance sheet has historically been characterized by low financial leverage and strong free cash flow generation. The payroll market is inherently cyclical, and Paychex's predominantly SMB customer base creates significant exposure to macroeconomic volatility. Customer diversity across market verticals, a primarily fixed-fee billing model, and a lean operating model enable the firm to generate healthy cash flows. Nevertheless, we view Paychex's conservative balance sheet as prudent, given the meaningful downside risk that macroeconomic downturns pose to the firm's growth.

Paychex's capital allocation rests on three pillars: reinvestment in the business, shareholder returns, and strategic mergers and acquisitions.

Paychex's dominance in its target markets is attributable to its tailored platforms and willingness to meet evolving customer needs. In addition to core payroll solutions, Paychex was early to build adjacent services such as retirement, insurance, and spend management tools, enabling the firm to capture greater wallet share and establish itself as a full-service HR solutions provider for SMBs. In recent years, Paychex's innovation agility has also been reflected in its swift adoption of automation solutions for operational efficiencies, as well as timely releases of AI-enabled offerings spanning benefits administration, time sheet monitoring, and more.

Paychex's commitment to meeting customer demands is also evident in its external investments. The firm's inorganic growth strategy is rooted in scale expansions, near adjacencies, and product tuck-ins. One of the most prominent examples of a scale expansion is the firm's acquisition of Oasis, the largest privately owned PEO, in 2018. While Paychex already offered PEO services at the time, the acquisition materially expanded its HR outsourcing base to 1.4 million worksite employees and cemented Paychex as a notable PEO provider. Since then, the business has grown into a high-value offering that contributes significantly to Paychex's top line. As of 2025, Paychex has approximately 2.5 million worksite employees across its HR outsourcing solutions and ranks as the second-largest PEO in the United States. More recently, Paychex acquired competitor Paycor for $4.1 billion, aiming to target more loyal, midmarket firms while creating avenues for cross-selling and pricing upside. Notable tuck-in acquisitions to expand Paychex's solution suite include SixFifty (legal automation, 2025) and Alterna Capital Solutions (accounts receivable management, 2023). We expect consolidation in the fragmented payroll and HCM industry to continue and anticipate that Paychex will pursue suitable merger and acquisition opportunities going forward. While tuck-in acquisitions have enabled Paychex to broaden its offerings, they can also create data silos that slow onboarding timelines and limit cross-module automation, pain points that weigh most heavily on resource-constrained SMB and midmarket

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Paychex Inc PAYX ★★★ 1 Jun 2026 22:19, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
96.98 USD 31 May 2026	106.00 USD 22 May 2026 15:56, UTC	0.97	36.70 USD Bil 1 Jun 2026	Narrow	Mid Blend	Medium	Exemplary

customers.

In terms of shareholder distributions, dividends are the primary means of returning capital to shareholders. The firm has consistently raised its quarterly dividend over the past 10 years, targeting a payout ratio of 70% to 80%, and we expect this trend to continue. The firm also conducts share buybacks, although these have primarily served to offset dilution from share-based compensation.

Analyst Notes Archive

Paychex Earnings: 2026 Guidance Maintained; Business as Usual Eric Compton, CFA,Director,25 Mar 2026

Paychex reported solid fiscal third-quarter 2026 earnings. Revenue was up 20% year over year, driven primarily by the Paycor acquisition, while adjusted earnings per share rose 14%. Why it matters: Results were generally positive for Paychex and aligned with our expectations. Paycor continues to be the primary growth driver, with implied non-Paycor revenue growth for the management solutions segment closer to 4% in the quarter, which was similar to previous quarters. Professional employer organization, or PEO, segment growth accelerated in the quarter, which was expected, as Paychex moved past prior master policy program enrollment headwinds. Underlying fundamentals were solid as worksite employee counts were up high single digits and bookings grew double digits. Management also hinted that it is trending toward the high end of its revenue synergy expectations for Paycor for 2026 and shared some details around initial cross-selling success for key products, like PEO, that Paychex is now able to sell into Paycor's customer base. The bottom line: We are raising our fair value estimate to $95 per share from $90 as we make some slight tweaks to our projections. We view shares as fairly valued, although there is the potential for upside if Paychex can keep executing over time, proving that artificial intelligence is not a headwind. Related to AI, it remains a tough debate as a lot of the future disruption would not be expected to have happened just yet, but in the meantime, current results suggest disruption certainly is not happening today. The company was able to achieve accelerating organic growth in the quarter, and comments suggested that competition has remained stable compared with where it was previously. Pricing and margin comments also hinted that management believes price hikes are still coming in 2027.

Updating Moat Ratings and Fair Value Estimates for Payroll Firms Eric Compton, CFA,Director,6 Mar 2026

We conducted a comprehensive review of Morningstar Economic Moat Ratings across our global technology and technology-adjacent coverage universe of more than 130 companies. In doing so, we updated our moat ratings and fair value estimates for our payroll sector coverage.Why it matters: The rapid advancement of large language models and agentic artificial intelligence is likely bringing in a new technology paradigm that fundamentally alters the competitive dynamics for many businesses. We

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Paychex Inc PAYX ★★★ 1 Jun 2026 22:19, UTC

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have stress-tested our moat ratings against this new reality. We see key risks for payroll firms via a combination of more application layer economics, less evidence of current AI monetization, and exposure to seat-based pricing. This brings heightened uncertainty to the return structure over the next 10-20 years. We still see evidence of complexity in workflows, notably needing to get tax law implemented correctly across numerous jurisdictions, along with a heavier regulatory burden and less room for error as companies still need to get payroll right.The bottom line: We are downgrading our moat ratings for ADP and Paychex to narrow from wide. We are downgrading our moat rating for Paycom to none from narrow. Our lower fair value estimates are $231 for ADP (from $297) and $90 for Paychex (from $122). We maintain our $130 fair value estimate for Paycom. Because this was our first "post-AI" update for ADP and Paychex, the hit to our valuations was a bit larger. We had already started to bake in a higher likelihood of slowing growth for Paycom following its recent fourth-quarter earnings report, when we lowered our fair value estimate to $130 from $208. This puts the companies in 3-star territory, with implied forward earnings multiples now below their historical five-year ranges. The primary changes we made were to lower our revenue growth assumptions to roughly a mid-single-digit compound annual growth rate and lower our stage two length and growth.

Paychex Earnings: Paycor Growth Disappoints but Long-Term Strategy Remains Strong Alex Medow,Equity Analyst,19 Dec 2025

Paychex reported second-quarter results with revenue increasing 18% year over year to nearly $1.6 billion and adjusted operating margins improving 80 basis points to 41.7%. Management reiterated its belief that it can achieve full-year growth in the high teens and 43% adjusted operating margins. Why it matters: Management solutions revenue increased 4% year over year organically, consistent with the growth generated last quarter. Professional employer organization, or PEO, achieved strong results, accelerating 3% quarter of quarter to 6% year-over-year growth due to strong renewals. Despite contributing nearly 17% of revenue growth toward management solutions, Paycor is continuing to decelerate and is expected to achieve high-single-digit organic growth during fiscal 2026. This compares with midteens organic growth the company was generating before the acquisition. Although revenue synergies across the two businesses have not materialized as fast as anticipated, management is confident in the cross-sell opportunity across the companies. A large opportunity still remains to sell HR outsourcing solutions and PEO solutions within Paycor's customer base. The bottom line: We keep our fair value estimate for wide-moat Paychex at $122 per share. We view shares as slightly undervalued, with our fair value estimate nearly 8% above the current price. Our fair value estimate is driven by our belief that Paychex can achieve annual organic growth between 5% and 10% annually due to incremental clients, pricing, and upselling. We also anticipate nearly 50 basis points of operating leverage annually, consistent with historical performance. Coming up: Management anticipates full-year revenue growth of 17.5% consistent with previous guidance. Additionally, adjusted earnings per share are expected to grow over 10% year over year, an increase of 50 basis points compared with

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previous guidance. Year over year, management solutions should grow 21% and PEO should grow 7%.

Paychex Earnings: Small Businesses Appear Resilient as Paychex Continues to Execute Alex Medow,Equity Analyst,30 Sep 2025

Paychex reported first-quarter fiscal 2026 results characterized by revenue growth of 17% and adjusted operating income growth of 15% year over year. Despite reaffirming full-year revenue guidance and increasing adjusted earnings expectations by 50 basis points, shares have fallen 5% on the print. Why it matters: Management solutions revenue increased 4% year over year organically, an acceleration of 1% compared with last quarter. The acquisition of Paycor contributed to 17% of management solutions growth while the professional employer group, or PEO, grew 3% year over year. The market reaction was likely attributable to concerns surrounding decelerating Paycor growth. Nonetheless, we believe Paycor is performing in line with expectations and that reported growth is slightly understated due to how management decided to comingle segments since the integration. The company achieved record PEO worksite employee retention and double-digit bookings growth. Despite continued medical plan product headwinds in Florida, management sees the segment reaccelerating during the back half of fiscal 2026 as it lapses easier comps. The bottom line: We keep our fair value estimate for wide-moat Paychex at $122 per share. Given the approximately 15% decline in share price since previously reporting earnings, we now view shares as fairly valued. It would appear market expectations surrounding future growth and margins have become more aligned with our view over the past quarter. We continue to expect normalized annual growth of 5.5% by 2030 with operating margins reaching slightly greater than 43%. Coming up: Paychex anticipates full-year revenue growth of 17.5% and adjusted earnings per share growth of 10%. Management anticipates management solutions and PEO will grow 21% and 7%, respectively, at the midpoint year over year. Small businesses appear to be resilient despite some concerns about macroeconomic conditions.

Paychex Earnings: Shares Fall As Investors Worry About Organic Growth Alex Medow,Equity Analyst,26 Jun 2025

Paychex reported fourth-quarter 2025 revenue growth of 10%, largely driven by the company's acquisition of Paycor. Adjusted EPS increased 6%, in line with FactSet estimates. Nonetheless, shares have traded down, with the intraday price declining 9%.Why it matters: Paychex's first quarter as the owner of Paycor helped result in double-digit growth for the first time since the fourth quarter of 2022. However, organic growth of 3%, while in line with our expectations, likely disappointed investors, leading to the selloff. There were minor headwinds within professional employer organization, or PEO, services as enrollment in the Florida at-risk medical plan fell year over year. We view this impact as temporary and believe the segment should recover as businesses seek to offer cheaper healthcare. Management remains cautiously optimistic about the demand environment for its core payroll offerings and sees no signs of any future recession. Small business owners, however, are delaying some

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Paychex Inc PAYX ★★★ 1 Jun 2026 22:19, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
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purchases as they continue to weigh the potential impacts of tariffs, inflation, and taxes. The bottom line: We keep our fair value estimate for wide-moat Paychex at $122 per share as our long-term outlook for the business remains unchanged. We view shares as slightly overvalued, trading 15% above our fair value estimate. We are less bullish than the market regarding Paychex's long-term growth prospects, as it is a mature company facing increased competition. This earnings report does little to alleviate our worries. Coming up: Paychex provided fiscal 2026 guidance for revenue and adjusted EPS growth of 17.5% and 9%, respectively. About 12.5% of this revenue growth is attributable to its acquisition of Paycor. The forecast is consistent with our prior expectations and slightly below FactSet consensus estimates. Paychex has historically traded at a premium relative to competitors, which can create volatility in the share price if results miss expectations.

Paychex, Dayforce, and Paylocity: Differentiated End Markets Help Drive Value; Shares Overvalued

Alex Medow,Equity Analyst,27 May 2025

We are relaunching coverage of Paychex, Dayforce, and Paylocity due to a change in analyst. After review, we are maintaining our economic moat ratings of narrow for Dayforce and Paylocity and wide for Paychex. However, we are reducing our fair value estimates by 30% to $47 per share for Dayforce, by 29% to $142 for Paylocity, and by 6% to $122 for Paychex.We believe human capital management and payroll software companies benefit from switching costs due to their deep integrations and mission-critical functions, allowing them to generate returns on invested capital above their cost of capital. Given its strong operating history of more than 50 years and large referral network that allows it to efficiently acquire new customers, we think Paychex also benefits from intangible assets.Paychex's target customers are primarily small businesses, while Dayforce focuses on large enterprises and Paylocity addresses medium-size businesses. As a result, Paychex has traditionally faced less competition, allowing it to generate best-in-class returns. Given the heterogeneous nature of small businesses and the diverse set of solutions offered by Paychex, we think it would be extremely difficult for any competitor to disrupt this; thus, we award the company a wide moat rating. Despite the recent progress that Dayforce and Paylocity have made in penetrating their respective end markets, we are more skeptical about their long-term growth prospects. Although our near-term growth forecasts remain similar to prior estimates, we believe increased competition will hinder growth over the medium to long term. Our lower growth forecasts appear to be differentiated from market expectations, as Paychex, Dayforce, and Paylocity are currently trading 30%, 24%, and 39% above our fair value estimates.

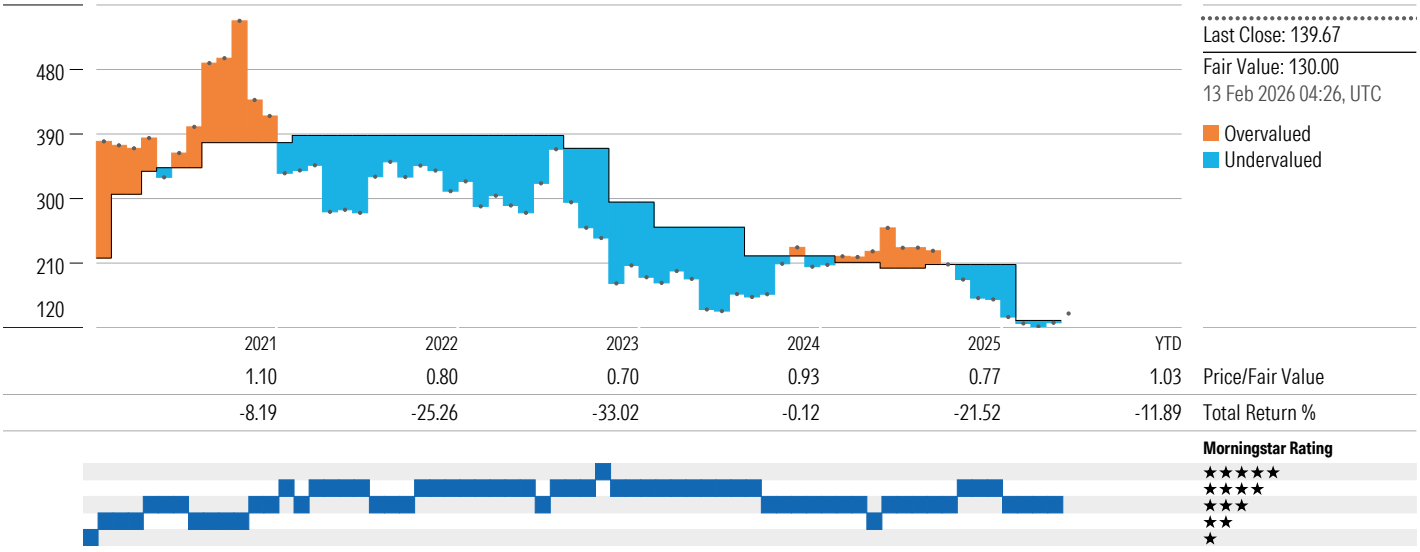
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Competitors Price vs. Fair Value

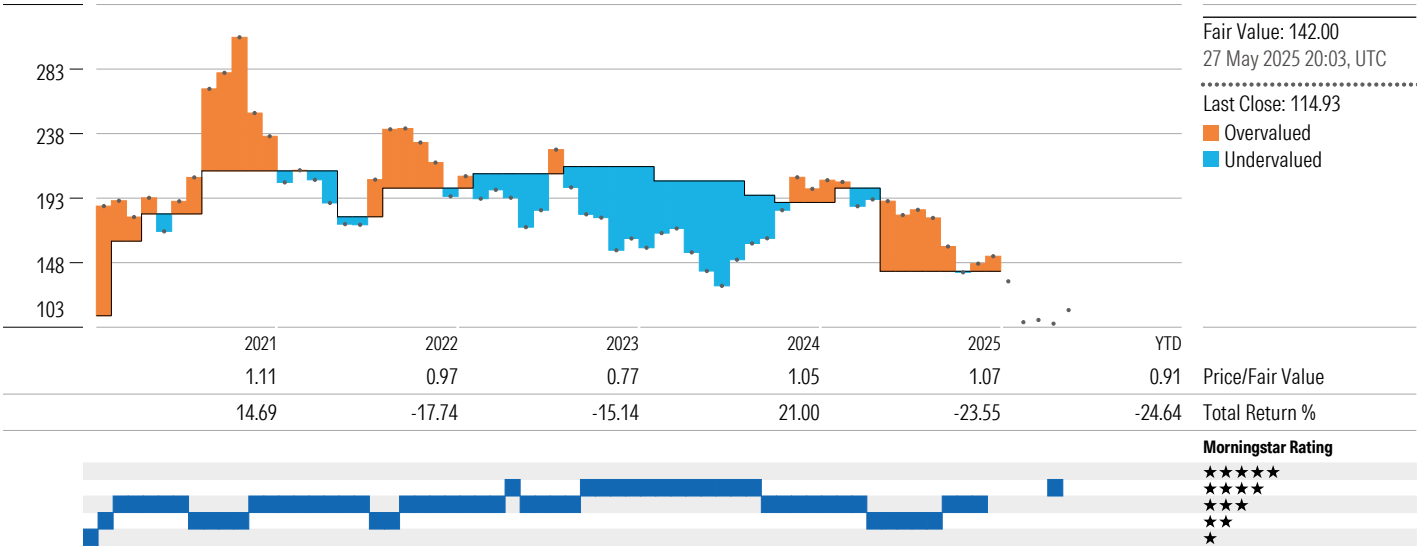
Paycom Software Inc PAYC



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.10	0.80	0.70	0.93	0.77	1.03
Total Return %	-8.19	-25.26	-33.02	-0.12	-21.52	-11.89

Total Return % as of 31 May 2026. Last Close as of 31 May 2026. Fair Value as of 13 Feb 2026 04:26, UTC.

Paylocity Holding Corp PCTY



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.11	0.97	0.77	1.05	1.07	0.91
Total Return %	14.69	-17.74	-15.14	21.00	-23.55	-24.64

Total Return % as of 31 May 2026. Last Close as of 31 May 2026. Fair Value as of 27 May 2025 20:03, UTC.

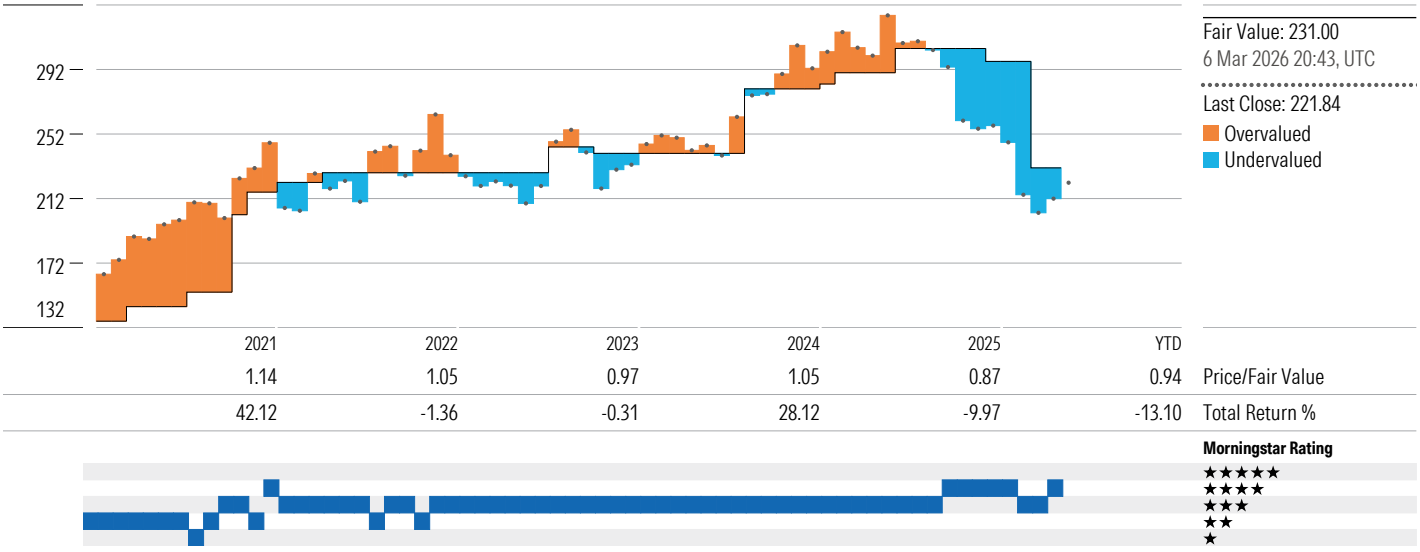
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Competitors Price vs. Fair Value

Automatic Data Processing Inc ADP



	2021	2022	2023	2024	2025	YTD	
	1.14	1.05	0.97	1.05	0.87	0.94	Price/Fair Value
	42.12	-1.36	-0.31	28.12	-9.97	-13.10	Total Return %

Total Return % as of 31 May 2026. Last Close as of 31 May 2026. Fair Value as of 6 Mar 2026 20:43, UTC.

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Morningstar Valuation Model Summary

Financials as of 21 May 2026

Fiscal Year, ends 31 May	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (USD Mil)	5,007	5,278	5,572	6,599	7,025	7,434	7,833	8,183
Operating Income (USD Mil)	2,033	2,174	2,208	2,523	2,780	3,026	3,251	3,445
EBITDA (USD Mil)	2,210	2,351	2,417	2,956	3,201	3,449	3,666	3,846
Adjusted EBITDA (USD Mil)	2,210	2,351	2,417	2,956	3,201	3,449	3,666	3,846
Net Income (USD Mil)	1,557	1,690	1,657	1,775	1,978	2,164	2,397	2,543
Adjusted Net Income (USD Mil)	1,549	1,709	1,803	1,999	1,978	2,164	2,397	2,544
Free Cash Flow To The Firm (USD Mil)	1,489	1,148	-1,742	1,965	2,225	2,402	2,575	2,721
Weighted Average Diluted Shares Outstanding (Mil)	362	362	362	360	356	354	353	352
Earnings Per Share (Diluted) (USD)	4.30	4.67	4.58	4.93	5.55	6.11	6.79	7.23
Adjusted Earnings Per Share (Diluted) (USD)	4.27	4.72	4.98	5.55	5.55	6.11	6.79	7.23
Dividends Per Share (USD)	3.26	3.65	4.02	4.43	4.87	5.36	5.89	6.48

Margins & Returns as of 21 May 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	40.5	40.6	41.2	39.6	38.2	39.6	40.7	41.5	42.1	40.4
EBITDA Margin %	—	44.1	44.5	43.4	44.8	45.6	46.4	46.8	47.0	—
Adjusted EBITDA Margin %	—	44.1	44.5	43.4	44.8	45.6	46.4	46.8	47.0	46.1
Net Margin %	30.9	31.1	32.0	29.7	26.9	28.2	29.1	30.6	31.1	29.2
Adjusted Net Margin %	31.9	30.9	32.4	32.4	30.3	28.2	29.1	30.6	31.1	29.8
Free Cash Flow To The Firm Margin %	6.7	29.7	21.8	-31.3	29.8	31.7	32.3	32.9	33.3	32.0

Growth & Ratios as of 21 May 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	6.5	8.6	5.4	5.6	18.4	6.5	5.8	5.4	4.5	8.0
Operating Income Growth %	6.3	10.5	6.9	1.6	14.3	10.2	8.8	7.4	6.0	9.3
EBITDA Growth %	10.5	8.8	6.4	2.8	22.3	8.3	7.7	6.3	4.9	5.4
Adjusted EBITDA Growth %	6.0	8.8	6.4	2.8	22.3	8.3	7.7	6.3	4.9	9.7
Earnings Per Share Growth %	6.1	12.1	8.6	-1.9	7.6	12.7	10.1	11.1	6.4	9.6
Adjusted Earnings Per Share Growth %	6.1	13.5	10.4	5.5	11.4	0.0	10.1	11.1	6.4	9.6

Valuation as of 21 May 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	—	25.5	31.7	18.5	18.5	16.8	15.1	14.2
Price/Sales	—	8.2	10.2	5.6	5.2	4.9	4.7	4.5
Price/Book	—	11.4	13.9	9.5	9.7	9.5	9.0	8.7
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	—	18.0	23.2	13.5	12.5	11.6	10.9	10.4
EV/EBIT	—	19.5	25.4	15.8	14.4	13.2	12.3	11.6
Dividend Yield %	—	3.0	2.6	4.3	4.8	5.2	5.8	6.3
Dividend Payout %	76.3	77.3	80.7	79.8	87.7	87.7	86.8	89.7
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 21 May 2026

Fiscal Year, ends 31 May	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	16.3	10.0	11.0	12.3	13.0	14.4	16.5	—
ROE %	44.5	40.2	45.5	52.8	57.0	60.0	61.6	—
ROIC %	53.7	30.0	24.2	26.9	29.7	32.3	34.6	—

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Paychex Inc PAYX ★★★ 1 Jun 2026 22:19, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
96.98 USD 31 May 2026	106.00 USD 22 May 2026 15:56, UTC	0.97	36.70 USD Bil 1 Jun 2026	Narrow	Mid Blend	Medium	Exemplary

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 May	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	2.2	2.0	8.1	10.7	10.5	10.8	9.7	6.5
Assets/Equity	3.0	2.7	4.0	4.1	4.3	4.4	4.2	3.7
Net Debt/EBITDA	-0.3	-0.3	1.4	1.2	1.1	1.0	0.9	0.8
Total Debt/EBITDA	0.4	0.4	2.1	1.6	1.4	1.4	1.2	0.8
EBITDA/ Net Interest Expense	-146.3	-53.5	76.0	15.2	18.0	19.4	37.8	39.1

Forecast Revisions as of 22 May 2026	2026		2027		2028	
Prior data as of 25 Mar 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	106.00	95.01	—	—	—	—
Revenue (USD Mil)	6,599	6,538	7,025	6,955	7,434	7,324
Operating Income (USD Mil)	2,523	2,520	2,780	2,867	3,026	3,172
EBITDA (USD Mil)	2,956	2,940	3,201	3,389	3,449	3,605
Net Income (USD Mil)	1,999	1,777	1,978	2,059	2,164	2,288
Earnings Per Share (Diluted) (USD)	4.93	4.93	5.55	5.72	6.11	6.36
Adjusted Earnings Per Share (Diluted) (USD)	5.55	4.93	5.55	5.72	6.11	6.36
Dividends Per Share (USD)	4.43	4.32	4.87	4.42	5.36	4.83

Key Valuation Drivers as of 21 May 2026

Cost of Equity %	8.7
Pre-Tax Cost of Debt %	7.1
Weighted Average Cost of Capital %	8.3
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	4.5
Stage II Investment Rate %	13.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 21 May 2026

	USD Mil
Present Value Stage I	8,885
Present Value Stage II	13,919
Present Value Stage III	16,955
Total Firm Value	**39,759**
Cash and Equivalents	1,711
Debt	4,967
Other Adjustments	0
Equity Value	**36,503**
Projected Diluted Shares	358
Fair Value per Share (USD)	**106.00**

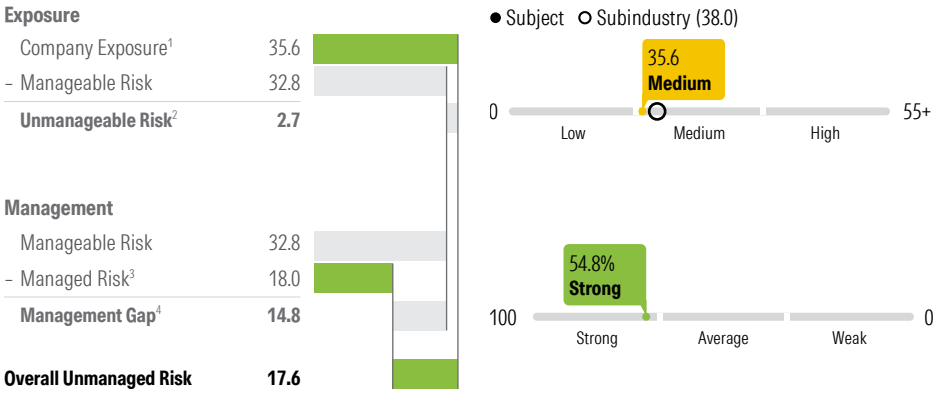
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Paychex Inc PAYX ★★★ 1 Jun 2026 22:19, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
96.98 USD 31 May 2026	106.00 USD 22 May 2026 15:56, UTC	0.97	36.70 USD Bil 1 Jun 2026	Narrow	Mid Blend	Medium	Exemplary

ESG Risk Rating Breakdown



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating is of May 30, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Enterprise and Infrastructure Software. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 54.8% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 30 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Paychex Inc	35.6 | Medium	0	55+	54.8 | Strong	100	0	17.6 | Low	0	40+
Automatic Data Processing Inc	34.4 | Low	0	55+	61.8 | Strong	100	0	14.7 | Low	0	40+
Paylocity Holding Corp	34.3 | Low	0	55+	47.2 | Average	100	0	19.3 | Low	0	40+
Paycom Software Inc	34.4 | Low	0	55+	50.0 | Average	100	0	18.4 | Low	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

Paychex Inc PAYX 1 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★★	★★★	★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★★	★★	★	★★	★★	★★	★★	★★	★★	★★

Paycom Software Inc PAYC 1 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★	★★★	★★★	★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★	★★	★★	★★	★★★	★★★	★★★	★★	★★	★★	★

Paylocity Holding Corp PCTY 1 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★	★

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Automatic Data Processing Inc ADP 1 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★★	★★★	★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★	★★★	★★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★★	★★★	★★	★	★★	★★	★★	★★	★★	★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

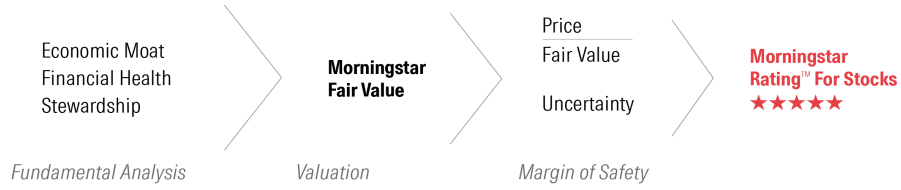
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

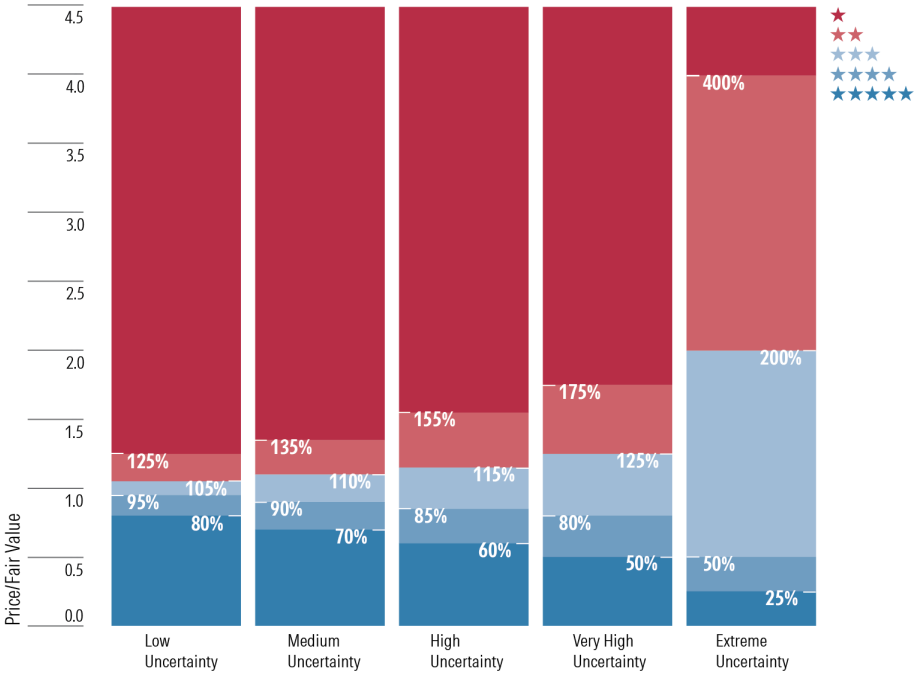
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

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★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

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